The Global Business Environment

Reflective Essay

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Introduction

I found this module, MT119, to be one of the most enjoyable and interesting modules I have taken to date. The engaging lectures, in-detail notes, and enjoyable group project have made this a memorable module for me. I will proceed to reflect on three topics that I found to be most intriguing (Culture & International Business, International HRM & Expatriate Management, and Business in Asia & Emerging Economies), along with a brief recap on how the group project has benefited me going forward. In this module, we took an in-depth look at factors that influence business on an international scale. I will also reflect on how this module has enabled me to learn more about myself and the world around me with its use of theories and beneficial information. The information learned throughout this module is vital to progress through our positions after university; it has given me an insight into what business life is like in other corners of the world. It has also enabled me to develop a diverse way of thinking to prepare myself for my year abroad in year 3 in Japan.

Key Learnings

- In 'Topic 1 – Culture & International Business' I summarise the obtained knowledge from various theories and projects that I have studied.
    - This includes Hofstede's and Trompenaars' Theories that delve into the importance of cultural considerations in international business.
    - I have also included personal research regarding the GLOBE Project that have built on and improved from Hofstede's work.
    - I have also learned about the various cultural factors that have an effect on a firm's importance in different markets, this includes factors such as language, religion and society.

- In 'Topic 2 – International HRM & Expatriate Management' I focused on what I learnt about HRM at a local level and internationally.
    - I could identify the vital areas of IHRM and the importance of the employment of expatriates that I previously did not know.
    - I became very interested in IHRM and became immersed in the opportunities that this role contains. This topic opened my eyes to a sector of the business world that I previously was not interested by.

- In ‘Topic 3 – Business in Asia & Emerging Markets’ I took an in-depth look at Japan, emerging market economies and the importance of relevant research.
    - This topic introduced me to new concepts that I previously was unaware off. In terms of Japan, I learnt about the importance of their Keiretsu Corporate Networks and its effects. It allowed me to gain an insight of what I would be experiencing first hand in Year 3 of my course, as I would be travelling to Japan.
    - I also learned about the importance of the ability to be able to identify suitable emerging markets for a business to expand into, and how analysis’ such as PESTLE and SWOT can affect the outcome of any FDI and expansion. I covered my experience with the PESTLE Analysis in detail.

- I was also able to avail from key learning moments from the group project I was part of. This included the importance and characteristics of efficient and successful teamwork.
    - My new-found characteristics of leadership and time efficiency really were highlighted to me.
    - I also discovered that reliance on others, fair delegation of tasks and efficient time management are some of the most important characteristics of a successful team.

Topic 1 – Culture & International Business

During this topic, we covered the impact of culture in everyday life worldwide; we also covered various theories, such as Hofstede's and Trompenaars, and frameworks, including GLOBE and CAGE.

Geert Hofstede's Theory of cultural dimensions really intrigued me as it shows how cultural differences affect behaviours, perceptions, and outcomes in an easily understandable format. Individualism-Collectivism, Power-Distance, Masculinity-Femininity, and Uncertainty Avoidance are the four original dimensions covered by Hofstede. It was then updated to include the dimensions of Long/short-Term Orientation and Indulgence-Self-restraint. Hofstede's Theory was long believed to accurately depict culture's effects on day-to-day behaviours and perceptions. I found an interactive globe of Hofstede's dimensions and saw this as a beneficial way to better understand the global diversity of cultures (Hofstede's Globe, 2022). As I dove deeper into my research on this topic, I learned about the mass amount of critiquing on his work. Minkov, M. (2017) stood out to me as his knowledge and points accurately show the failures of Hofstede's results. I learned that particular care must be taken to conduct any research. Hofstede initially surveyed 53,000 IBM staff across 56 countries, but, as Minkov, M. (2017) had highlighted, IBM staff did not have the same social status globally. This shows that Hofstede's results were flawed as he did not consider certain aspects of cultural differences in the same job. Jones, M. L. (2007) took a more in-depth approach to critique Hofstede's work and found flaws in areas such as its political influence, one-company approach, and its negligence of national divisions. From this, I learned that it is not only essential to research interesting and important topics, but it is also necessary to try and find its flaws to develop a more reliable end-product of research. 80% of all employees are identified to be working in groups classified as teams (Attle and Baker, 2007), so I believe this to be a significant learning experience to be able to progress further in my future.

I also gained a vital understanding of how culture persuades everyday life differently worldwide.

Trompenaars' seven dimensions of culture built upon Hofstede's concepts were also mentioned in this topic but were not explained in detail. I was highly interested in Hofstede's Theory, so I decided that looking at other similar theories may be interesting. Trompenaars' Theory explores human attitudes toward their personal and professional lives (Hofstede, G., 1996). Although his work was praised, it was flawed as it was only relevant for the 1950s and 1960s. I realised that his ideas were more conceptual and, similarly to Hofstede's Theory, he focused his studies on a smaller portion of the population. In Fons Trompenaars' case, he focused more on people in management positions. From his studies, I learned that considering people's personal approaches to living and working is vital, especially when considering national culture. I learned that places like Japan have a more dedicated approach to work than Ireland. I will need to become increasingly more aware that dedication to a task is apparent as the time comes closer to my year abroad.

The GLOBE Project is another concept that is based on Hofstede's works. The GLOBE team began its work in 1991 and has grown immensely in its history. GLOBE doubled its reach of countries in 2020 from 2014; this is an impressive feat. It surveyed the leadership techniques in three separate phases and considered their perceptions, behaviours, and beliefs (GLOBE, 2022). In my opinion, their approach to obtaining information is better than both Hofstede and Trompenaars. The importance of surveying more people to get more realistic outlooks is highlighted here. I identified the importance of considering cultures and not just nations, as one nation may have multiple cultures within. I've learned that I cannot assume that people of the same nationality all have the same cultural beliefs. I will take this forward with me when I graduate from college and have the opportunity to interact with more new people in the global business environment.

Throughout this module, I learned the importance of considering the variety of cultural backgrounds in people. One such example from these lectures that I have retained in my memory is when Honda raised many eyebrows by naming one of their car models 'Fitta'; this is the same word used to refer to a woman's private parts (University of Oklahoma, 2013). Social class, language, religion, education level, and political philosophies must all be considered in each country. I have learned that not all aspects of a culture can be instantly visible; some elements can only be learned through time spent immersed in the culture or having insider knowledge. Some elements of cultures, though, can't be perceived by anyone born outside of this particular society. This vital knowledge will help me in the future as I will be aware of how to interact with individuals of different backgrounds and be cautious of any cultural differences we may share.

Topic 2 – International HRM & Expatriate Management

Human Resource Management (HRM) is a vital part of any business that wants to grow, be efficient and succeed. Recruitment and selection processes within a company are critical as the suitable candidates that will propel the firm further must be chosen. HRM also oversees all training and development; this is critical for staff to fulfil their full potential.

Wind, Douglas, and Perlmutter's EPRG model was completed in 1973; this model condenses managers' attitudes into either Ethnocentric, Polycentric, Regiocentric, or Geocentric. In International HRM, this means that a manager believes that 1. Home country officials control oversea sectors, 2. Local nationals are used in critical positions, 3. Regional people are employed in key positions, and 4. The best people from any part of the world are used, respectively. I identified this model to be accurate in most situations as a company starts at ethnocentric, and with further developments, they become polycentric and regiocentric. Few companies reach a geocentric level permanently, but many reach this level temporarily (Drachal, K. 2014). I want to work in an IHRM environment at some point in the future, even if it is for a brief amount of time, so I believe that this knowledge gained will aid me in achieving efficiency within the business I will work with. Identifying when it is the right time to expand the company is also a key point that I have learned from this topic.

Another point I've gained positive knowledge from is the array of different employees that can be within a firm; this includes expatriates, inpatriates, flexpatriates, and home/host/third country nationals. From the text 'The Case of the Floundering Expatriate' (Adler, 1995), I could identify that Argon's preferable approach was to delegate expatriates to do heavy loads of work abroad. I also recognised that sufficient preparation is needed to allow the employee to adapt to a new cultural environment. If I get the opportunity to work in the IHRM position that I would like, I will take what I've learned onboard. I would use my knowledge of the

importance of employing a range of diverse employees and the importance of providing adequate training and development for all employees.

I was really intrigued by the information given in the lecture on the number of Irish nationals globally. The figures provided by Kenny C. (2015) show that approximately 770,000 Irish-born people live abroad. I realised that Irish people have a comparative advantage over many other nationalities, as they have a cultural awareness of Europe and also speak English as their first language. This makes Irish candidates ideal expatriates and third-country nationals. I belong to this portion of the Irish population as I have a mixed background of Lithuanian and Irish. My ability to seamlessly adapt to a new culture and my awareness of differences are two key characteristics that I will strive to grow on as I will more than likely need to utilise these more often in the future.

Before this lecture, I had yet to realise the importance of having diversity in the workplace. Yes, expatriates and other employee types can lead to inevitable failures, such as employee-employee disagreements due to their differences, but the positives outweigh the negatives. As technology advances and communication virtually and in person becomes more accessible to everybody, the importance of expatriates in the workplace also grows. Employees and managers are the growing points as their knowledge (Meesala, A. 2011), experiences, and differences allow a business to excel.

Topic 3 – Business in Asia & Emerging Economies

This topic intrigued me the most as it gave me an insight into how different markets operate in various ways. It also gave me a brief insight into how business life in Japan differs from the majority of other approaches taken by other countries. Customs that originated in Japan include the Keiretsu Networks, JIT (Just in Time) processes, the advancements of automation, and many other customs. From this, I could identify that the Japanese are true innovators, and, in some ways, they are decades ahead of the Western World. Keiretsu corporate networks are seen to be a key component of the success of the Japanese economy. This variation of vertical integration allowed companies from many different industries to be involved in cross-shareholding schemes, which, in turn, led to them being a tight-knit group that ensured each other's success (Rugman and Collinson, 1997). I was able to identify Japan as a high risk location, though, due to its location in a common natural disaster zone and proximity to North Korea (Naoi and Seko and Sumita, 2009). This learning of the unique processes that go into business in Japan is eye-opening to a certain extent. I would need to conduct further research and develop my knowledge of Japan's influence on the Western world and the commonly used practices, as they differ from other parts of the world.

I took it upon myself to conduct the PESTLE Analysis for my group project; through this, I discovered the significance that customs and attitudes within a country have on the moral, ethical and environmental approaches that a business will use (Perera, R. 2017). When conducting a PESTLE Analysis, countries that emerging market economies will usually yield the best results. This is due to the expensive costs present in advanced economies, such as 'The Triad' of the EU, the US, and Japan. Emerging market economies display an opportunity for firms to develop into a rapidly growing market before costs reach advanced economic levels. Through this, I could identify the importance of intense market research when considering expansion into new markets. All firms must consider regions such as Africa,

BRICS, and ASEAN as potential countries to expand into as they present immeasurable opportunities at a low cost (Rugman and Collinson, 1997). I have also considered that these countries may have different needs and wants that may not be suitable for a firm to invest in. Going forward, whenever I may be presented with the opportunity to aid a firm with expansion into foreign markets, I will consider my newfound knowledge of emerging markets' importance. Caution must be taken, though, as certain regions can be unpredictable and lead to immense losses. Although many nations are considered to be emerging market economies, I must remember that they may still hold a weak economy, with weak political stability and a workforce that may be incompetent for the task at hand.

Conclusively, awareness and the ability to recognise suitable opportunities are vital characteristics that firms' employees and managers must show. I believe that this topic has allowed me to conduct relevant research and successfully determine whether a given risk is worth taking.

Learnings from Group Project

Each member of my group believes that our project was ultimately a success. We shared a similar work ethic and drive to do our best, which was reflected in our finished piece. Our shared opinions and drive made our group become friends and made completing our project easy. We did, though, face problems that may not have been significant but were still taken onboard to learn and develop from. We encountered multiple disagreements regarding layouts and what information should be included, but ultimately, our pieces converged perfectly. I was also panicked at a certain point as one member had still not completed their piece on the day, but we all agreed. I realised the next day that panic was unnecessary and that a group must trust each other's abilities and time management. Reliance on others is a critical factor of a successful group project; the ability to focus solely on your part of a project without delving into everybody else's is vital. The ability for risk reduction, work division and improved time management are also pivotal areas of teamwork that should be focused on more (Amin, B. 2011).

I also discovered various skills and characteristics that were not particularly obvious previously. I learned that I have the qualities of a leader and successfully bring people together for one cause. I also identified that I could communicate to each person what was appropriately expected of them. I also got an inside perspective on how other people complete tasks, and I gained an understanding that everybody does not share the same idea of efficiency and standard. Our group was lucky to have members that genuinely cared about receiving the best grade possible; the importance of teamwork was also highlighted here as we all gave our own suggestions of what could be done better when screening the work.

I will take forward with me the knowledge of how a team must cooperate to reach everybody's standards and the importance of proper delegation and division of tasks and clear, concise communication.

Conclusion

Conclusively, I have discovered many new things throughout this module that will benefit me throughout my life. The importance of being considerate and aware of people's differences, whether in culture, language, religion, etc., is paramount. In some situations in my past, I recognise that I may have been inconsiderate to an extent. Now, with this crucial knowledge, I will change my attitudes and behaviours when dealing with people I do not know. More importantly, my behaviour in relation to different cultures, languages, and religions will change as I have become aware that many different customs globally differ significantly from one another. My attitudes and behaviours with these factors were always good, but they will improve significantly.

I have also been prepared for a 'cultural shock' in Year 3 of my course, and my awareness of Japan's differences in a business setting has also been improved to high standards. This will benefit me greatly as I will not only be able to adapt to these changes efficiently and in quick time, but I will also be able to understand and increase my basic knowledge further. My opinion of the world around me has also changed; I now have become more aware that all countries have societal, political, and cultural differences that are unique to their countries. I have discovered that even if I think I know a lot about a topic, there is much more to uncover. Before this module began, I thought I had in-depth knowledge and a clear vision of how the world works, but realistically, I did have a lot to learn over the coming months. The group project also helped me obtain new information about teamwork and my characteristics, along with their importance in the business world. I will take all that I have learned in this module and strive to develop more knowledge and understanding of the world around me in a cultural sense going forward.

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